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Case Number: 25CHCP00438 Hearing Date: July 6, 2026 Dept: F43

Dept. F43

Hearing Date: 07-06-26

Case # 25CHCP00438, Quality Loan

Service Corp. v. All Claimants to Surplus Funds

Trial Date: N/A

MOTION FOR AN ORDER

RELEASING SURPLUS FUNDS

MOVING PARTY: David K. Gottlieb, in his capacity as the
Chapter 7 Trustee of the Bankruptcy Estate of Lisa Hines

RESPONDING PARTY: No opposition was filed.

RELIEF REQUESTED

Order releasing surplus funds in the amount
of \$315,897.82 to bankruptcy trustee Gottlieb.

RULING: Motion is granted.

SUMMARY OF ACTION

On

October 28, 2022, the LRD Done by the Light of Day Trust/The Dunn Clan of Lisa

Robin Estate Trust (Dunn Clan Trust) was created. The certificate of trust was recorded on January 23, 2025, identifying the trust as a living irrevocable trust and naming claimant Lisa Hines as a trustee.
(Petition, Exh. C.)

On March 30, 2006, Lisa Hines executed a Deed of Trust to secure a loan for real property located at 15606 Simonds St., Granada Hills, California 91344-4344 (the Property). (Ex Parte RJN, Exh. B at p. 2 [stating the first Deed of Trust was recorded on April 6, 2006]; Ex Parte RJN, Exh. C: Deed of Trust [listing World Savings Bank as the lender, Lisa Hines as the borrower, and the recording date as April 6, 2006].) Ms. Hines later transferred ownership of the Property to the Dunn Clan Trust by grant deed. (Ex Parte RJN, Exh. A: Grant Deed [recorded on January 21, 2025].)

At some point, claimant Hines defaulted on loan payments and did not cure the default. On April 29, 2025, the Property was sold at a non-judicial foreclosure sale for \$680,000. (4/30/26 Request for Judicial Notice, Exh. 1 at pp. 2, 25 [conveying ownership to DK Consolidated Investments, LLC].) A Deed Upon Sale was executed on May 15, 2025. (Ex Parte, Exh. B.)

On May 30, 2025, Ms. Hines filed a voluntary petition under Chapter 7 of Title 11 of the United States Code, initiating In re Lisa Hines, Bankruptcy Case No. 1:25-bk-10950-MB. (4/30/26 Substitution of Bankruptcy Trustee, Exh. 1.)

On November 24, 2025, petitioner Quality Loan Service Corp. (Petitioner) filed a Petition and Declaration Regarding Unresolved Claims and Deposit of Undistributed Surplus Proceeds of Trustee's Sale (Petition). The gross amount of the surplus funds to be deposited was \$315,897.82, not including Petitioner's \$5,419.66 in trustee sale costs and expenses and requested attorney fees and costs. (Petition, at p. 3, ¶ 16(h).) On December 11, 2025, the court (Hon. Gary Micon) issued an order to deposit the surplus funds.

On January 8, 2026, Petitioner filed a motion for the court to deposit the "surplus funds" pursuant to Civil Code section

2924j subdivisions (c) and (d), to discharge Petitioner from any further responsibility for disbursement of the funds, and to recover attorney fees and costs incurred in attempting to determine the proper claimants to the surplus funds. The court granted the motion and awarded attorney fees and costs on April 14, 2026.

On April 30, 2026, David K. Gottlieb, as the Chapter 7 Trustee for the bankruptcy estate of Lisa Hines, substituted in as real party in interest for Ms. Hines.
(4/30/26 Substitution of Bankruptcy Trustee.)

Trustee Gottlieb now requests that the court release the surplus funds to him. Trustee Gottlieb contends that the funds are the property of Ms. Hines's bankruptcy estate because the Property was owned by the Dunn Clan Trust, the trust is a living revocable trust, and Ms. Hines is a trustee of the trust with authority to transfer assets in and out of the trust. California law states that property which is part of such a trust is subject to claims against debtor by creditors. No opposition has been filed.

On June 12, 2026, claimant Lisa Hines filed an ex parte application for an order prohibiting disbursement of the surplus funds pending adjudication of competing claims concerning ownership of the Property and entitlement to the surplus funds. According to Ms. Hines, the bankruptcy court directed the parties asserting interests in property to seek relief in state court rather than bankruptcy court. Based on this, Ms. Hines argues the Dunn Clan Trust rather than herself is the rightful owner of the surplus funds and the Deed issued after the foreclosure sale was issued in the wrong name. Ms. Hines insists that the trust and its beneficiaries will be permanently deprived of resources necessary to litigate title defects, to recover the Property, to secure housing for displaced beneficiaries, and to obtain proper medical care.

Ms. Hines is self-represented.

REQUESTS FOR JUDICIAL NOTICE

Trustee Gottlieb asks the court to take

judicial notice of the following, pursuant to Evidence Code section 452:

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Exhibit 1: Petitioner

Quality Loan Service Corp.'s Petition and Declaration Regarding Unresolved Claims and Deposit of Undistributed Surplus Proceeds of Trustee's Sale filed on November 24, 2025;

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Exhibit 2: Court order to

Deposit Surplus Funds, entered on December 11, 2025;

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Exhibit 3: Voluntary

bankruptcy petition filed by Lisa Hines under on May 30, 2025, pursuant to Chapter 7 of Title 11 of the United States Code (In re Lisa Hines, Case No. 1:25-bk-10950 MB).

The court grants Trustee Gottlieb's request pursuant to Evidence Code section 452, subdivision (d).

Ms. Hines asks the court to take judicial notice of the following pursuant to Evidence Code section 452, subdivision (d) and section 453:

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Exhibit A: Grant Deed

transferring ownership of the Property from Ms. Hines to the Dunn Clan Trust, recorded on January 21, 2025;

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Exhibit B: Trustee's Deed

Upon Sale executed by Quality Loan Service Corp. (as Trustee of the Deed of Trust) transferring ownership of the Property to DK Consolidated Investments, LLC, executed on May 15, 2025;

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Exhibit C: Deed of Trust securing

a promissory note to unidentified property, listing World Savings Bank, FSB as the lender and Lisa Hines as the borrower, recorded on April 6, 2006;

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Exhibit D:

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Exhibit E: A table listing
a summary of hearing dates, transcript citations, and quotes from hearings in bankruptcy
court on June 17 and July 15 of 2025 before the Honorable Martin R. Barash;

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Exhibit M: Court records,
transcripts, exhibits, and legal authorities from the bankruptcy court and case
law.

The court grants the request in part for
Exhibits A, B, and C, taking judicial notice of the existence and recordation
of the exhibits according to Evidence Code section 452, subdivision (c). (See *Fontenot v. Wells Fargo Bank, N.A.*
(2011) 198 Cal.App.4th 256, 264-267, disapproved on other grounds by *Yvanova*
v. New Century Mortgage Corp. (2016) 62 Cal.4th 919.)

The court denies the request in part for
Exhibit D, which is nonexistent, and Exhibits E and M because they consist of Ms.
Hines's summary of court proceedings and legal authority rather than provide
actual documents referenced in the exhibits.
A party's summary of court proceedings or a court ruling are generally
not the proper subject for judicial notice.

ANALYSIS

A. Releasing Surplus Funds to a Bankruptcy Trustee

Civil Code section 2924j governs the handling of surplus
funds from a trustee's sale in nonjudicial foreclosure proceedings.

"The trustee, or the clerk of the court upon order to the
clerk pursuant to subdivision (d) of Section 2924j, shall distribute the
proceeds, or a portion of the proceeds, as the case may be, of the trustee's
sale conducted pursuant to Section 2924h in the following order of priority:

(1) To the costs and expenses of exercising the power of sale and of sale, including the payment of the trustee's fees and attorney's fees permitted pursuant to subdivision (b) of Section 2924d and subdivision (b) of this section. (2) To the payment of the obligations secured by the deed of trust or mortgage which is the subject of the trustee's sale. (3) To satisfy the outstanding balance of obligations secured by any junior liens or encumbrances in the order of their priority.

(4) To the trustor or the trustor's successor in interest. In the event the property is sold or transferred to another, to the vested owner of record at the time of the trustee's sale." (Civ. Code, § 2924k, subd. (a)(1)-(4).)

Based on the Petition and the Petitioner's Exhibits, the vested owner of record of the Property at the time of the foreclosure sale was the Dunn Clan Trust. On January 21, 2025, Ms. Hines recorded a grant deed transferring ownership of the Property from herself to the Dunn Clan Trust.

(Petition, Exh. B.) Two days later, Ms. Hines recorded a Certificate of Trust, identifying the Dunn Clan Trust; classifying the trust as a "living revocable trust"; stating the trustees have the power to revoke the trust; naming Ms. Hines along with Lisa Amez Nefertiti Hines as trustees and beneficiaries of the trust; stating the trustees have authority to receive distributions made to the trust; and listing the Property (APN: 2662-006-030) as one of the trust's legal properties. (Petition, Exh. C.)

Therefore, any surplus funds from the Trustee's Sale on April 29, 2025, less any junior liens, are the property of the Dunn Clan Trust.

Trustee Gottlieb claims that as of May 30, 2025, when Ms. Hines filed her bankruptcy petition, the surplus funds became the property of Ms. Hines's bankruptcy estate.

Because Ms. Hines is a trustee-settlor of the Dunn Clan Trust, a living revocable trust, with the ability to revoke the trust the Trust's property is subject to claims by Ms. Hines's creditors.

California law treats a revocable living trust as merely a probate avoidance device and not a separate legal entity. Property transferred to or held in a revocable living trust is the property of the settlor. (*Steinhart v. County of Los Angeles* (2010) 47 Cal.4th 1298, 1319, citations omitted.) “[A] settlor with the power to revoke the living trust effectively retains full ownership and control over any property transferred to the trust.” (*Arluk Medical Center Indus. Group, Inc. v. Dobler* (2004) 116 Cal.App.4th 1324, 1331-1332.) “If the settlor retains the power to revoke the trust in whole or in part, the trust property is subject to the claims of creditors of the settlor to the extent of the power of revocation during the lifetime of the settlor.” (Prob. Code, § 18200.) “Under California law, a revocable inter vivos trust is recognized as simply ‘a probate avoidance device, but does not prevent creditors of the settlors—who are often also the trustees and the sole beneficiaries during their lifetimes—from reaching trust property.’” (*Zanelli v. McGrath* (2008) 166 Cal.App.4th 615, 633 [quoting *Galdjije v. Darwish* (2003) 113 Cal.App.4th 1331, 1349].) “[I]n *Galdjije*, the court held an action for specific performance seeking to compel the settlors/trustors to convey title to property held in an inter vivos trust was not fatally defective for failing to name the settlors/trustees in their representative capacity as well as their individual capacity. The court reasoned that the settlors in their individual capacity had full power to convey the property because a revocable inter vivos trust was merely a probate avoidance device, and does not prevent creditors of the settlors who were also the trustees and sole beneficiaries during their lifetime, from reaching trust property.” (*Id.* at p. 633.) “Property transferred to, or held in, a revocable inter vivos trust is nonetheless deemed the property of the settlor and is reachable by the creditors of the settlor. These sections recognize that when property is held in this type of trust, the settlor and lifetime beneficiary has the equivalent of full ownership of the property.” (*Id.* at pp. 633-634 [citing Prob. Code, §§ 18200, 18201].)

Because there is no distinction in California law between property owned by a revocable trust and property owned by the settlor of such a revocable trust during the settlor's lifetime, property in which the Dunn Clan Trust has an ownership interest, including the Property and the proceeds from the foreclosure sale of the Property is property which Ms. Hines's creditors may reach to satisfy Ms. Hines's outstanding debt.

However, the filing of Ms. Hines's voluntary bankruptcy petition cut off Ms. Hines's and her creditors' ability to take possession of the surplus funds.

The surplus funds from the foreclosure sale are property of the Chapter 7 Bankruptcy Estate of Ms. Hines.

"Under the Bankruptcy Code, "all legal or equitable interests of the debtor in property as of the commencement of [a bankruptcy] case" belong to the bankruptcy estate created at the debtor's filing of a bankruptcy petition." (Bercy v. City of Phoenix (9th Cir. 2024) 103 F.4th 591, 594 [quoting 11 U.S.C. § 541(a)(1)]; M & M Foods, Inc. (2011) 196 Cal.App.4th 554, 562.) The trustee is the representative of the bankruptcy estate, the real party in interest, and the only party with standing to control the bankruptcy estate. (Bostonian v. Liberty Savings Bank (1997) 52 Cal.App.4th 1075, 1081.)

In California, bankruptcy courts have consistently held that property held in a revocable trust is property of the bankruptcy estate when the debtor is the settlor. "[W]hen the settlor of a trust retains the power to revoke a trust, the trust remains the settlor's property subject to his creditor's claims." (In re Brooks-Hamilton (Bankr. N.D. Cal. 2006) 348 B.R. 512, 519 [citing Prob. Code, §§ 15800, 18200]; Empire Properties v. County of Los Angeles (1996) 44 Cal.App.4th 781, 786-787 [transferring real property to a revocable trust does not change ownership for property tax assessment purposes].)

The "[d]ebtor's interest as a trustor and beneficiary under the Living Trust, among other things, all bec[omes] property of the bankruptcy estate pursuant to 11 U.S.C. § 541(a) upon the filing of debtor petition." (In re Moffat (Bankr. C.D. Cal. 1989) 107 B.R. 255, 260.) Because California law allows a creditor of a trustee-settlor of a revocable trust "to satisfy a claim against the settlor from property held by the trust . . . [s]ection 544(a)(1) [also gives] the bankruptcy estate an interest in the property." (In re Bogetti (Bankr. E.D. Cal. 2006) 349 B.R. 14, 18.) This principle "invalidat[es] of a settlor to use a trust to shield property from his or her creditors[.]" (In re Cutter (Bankr. 9th Cir. 2008) 398 B.R. 6, 20.)

Because the surplus proceeds from foreclosure sale are the property of the Dunn Clan Trust, the surplus proceeds are also property of Ms. Hines's bankruptcy estate. (See 11 U.S.C. § 541(a)(6).)

The court notes that the Dunn Clan Trust has two trustee-settlers: Ms. Hines and Lisa Amesz-Nefertiti Hines. (Petition, Exh. C at p. 3, ¶ 4.) Unless otherwise stated in the instrument creating the trust, if a trust created by more than one settlor, each settlor may revoke the trust as to the portion of the trust contributed by that settlor. (Prob. Code, § 15401, subd. (b)(1).) The Certificate of the Dunn Clan Trust states "The individuals having the power to revoke the Trust are the Trustees, who retain full powers and authority, as amended." (Petition, Exh. C at p. 3, ¶ 5.) This language suggests that both trustees individually have the power to revoke the trust on their own.

The court finds that Trustee Gottlieb has demonstrated that the remaining surplus funds are the property of the Dunn Clan Trust, the Dunn Clan Trust is a living revocable trust, and Ms. Hines is a trustee-settlor of the trust. Thus, the surplus funds are the property of the Chapter 7 bankruptcy estate of Ms. Hines and bankruptcy trustee Daniel K. Gottlieb is entitled to take possession of the funds as part of the estate.

In her ex parte application, Ms. Hines claims there are competing claims concerning ownership of the Property and entitlement to the surplus proceeds. According to Ms. Hines, the Trustee's Deed Upon Sale identifies her rather than the Dunn Clan Trust. Furthermore, the trust and its beneficiaries will be permanently deprived of resources necessary to litigate title defects or recover the property. The court is perplexed by Ms. Hines's assertion that the foreclosure sale was conducted in the wrong name. (Declaration of Lisa Hines ¶ 4.)

A review of the Trustee's Deed Upon Sale indicates that ownership was transferred to DK Consolidated Investments, LLC and that Ms. Hines was identified as the individual who signed the first Deed of Trust on the Property. (Ex Parte, Exh. B at p. 2.) Moreover, the documents presented with Ms.

Hines's ex parte application do not demonstrate any title defects. Ms. Hines presents a copy of the first Deed of Trust on the Property but only provides two of the eighteen pages recorded for the first Deed of Trust. (Ex Parte, Exh. C.) Finally, Ms. Hines and her co-trustee are the only beneficiaries to the Dunn Clan Trust, and she identifies no other individuals with competing claims to the Property or surplus funds.

Therefore, the court grants the motion to release to David K. Gottlieb, in his capacity as the Chapter 7 Trustee of the Bankruptcy Estate of Lisa Hines, the surplus funds from the trustee's sale of real property located at 15606 Simonds St. Granada Hills, CA 91344-4344.

CONCLUSION and ORDER

Motion to release the surplus funds is granted.

The court releases to David K. Gottlieb, in his capacity as the Chapter 7 Trustee of the Bankruptcy Estate of Lisa Hines, the surplus funds from the trustee's sale of real property located at 15606 Simonds St. Granada Hills, CA 91344-4344.

Clerk of the Court to give notice.